DO YOU KNOW?

Although, all the Rural Co-operative Banks in India are registered under the Co-operative Societies Act, they are regulated by Reserve Bank of India.

- They also provide finance to the self employed individuals and small scale industries of rural India.

(iii) Self Help Group (SHG)

In India NABARD initiated Self Help Group in 1986-87. SHG are formed under the Swarna Jayanthi Swarojgar Yojana (SGSY) Programme.

The absence of institutional credits available in the rural area has led to the establishment of SHGs.

What is a Self Help Group?

A Self Help Group (SHG) is a voluntary association of men or women in similar economic conditions.

DO YOU KNOW?

Swarna Jayanthi Grama Swarojgar Yojana Programme was launched on 1st April, 1999 at 75:25 costs sharing between Central and State Government.

They come together for the purpose of solving the common problems through self help and mutual help.The SHG promotes small savings among its members.The savings are kept with a bank.

Features of SHG

- The group should be formed by 15-20 number of members.
- The group should not consist of more than one member from the same family.
- A person should not be a member of more than one group.
- The group should devise a code of conduct (Group management norms) to bind itself.
- This should be in the form of regular meetings (weekly or fortnightly) functioning in a democratic manner allowing free exchange of views, participation by the members in the decision making process.
- The group should be able to draw up an agenda for each meeting and take up discussions as per the agenda.
- The group should be able to collect the minimum voluntary saving amount from all the members regularly in the group meetings. This is called as corpus fund.
- This fund should be used to advance loans to the members.
- The group should develop financial management norms covering the loan sanction procedure, repayment schedule and interest rates.
- The group should operate a group account preferably in their service area bank branch, so as to deposit the balance amount after disbursing loans.

Government of India and the Reserve Bank, realizing the importance of microcredit in the development programmes, have taken up many steps for the linkage of SHGs with formal financial institutions. The basic purpose of linkage is to strengthen the financial health of SHGs by ensuring adequate flow of bank credit to them.

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